

cal returns of a scheme or a category. What does that mean for people who want to use the MF route to invest in the small-cap universe?

THE WAY FORWARD

The best piece of advice long-term investors can take right now is to stick with their investments, no matter what the fund houses do. “We are still positive on small-cap as a category. The segment is good from a long-term perspective and offers enough investment opportunities. All we want is more time to deploy funds,” says Vardarajan.

While there is some enthusiasm in the small-cap space, Nippon India’s Rachh, who oversees the country’s largest small-cap fund, believes there will always be attractive investment opportunities. “Currently we are in a sort of euphoria in small-caps. Markets have

their balancing mechanisms and that would ensure that there would be better opportunities to deploy funds. Also, the supply of paper is huge, so it will also bring some good opportunities to deploy the flows,” he adds.

Fund managers may seem optimistic from a longer-term perspective, but when equity benchmarks are near historic highs, investors should always proceed with caution. “The 250 small-cap companies in the Nifty SmallCap Index have a total market cap of around ₹27 lakh crore. If promoter ownership is assumed to be 80 per cent, there would be approximately ₹5.5 lakh crore in free float. Of that, small-cap funds probably hold around ₹1.25 lakh crore or about 23 per cent, which is not an alarmingly high ownership in aggregate,” says Rastogi.

“For the larger market and retail [segment], it also becomes an indicator of caution that the small-cap space is so hot that some of the leading funds are having a hard time deploying funds without moving prices significantly. The last time this happened was in mid-2017, before the small-cap index peaked in January 2018,” he explains.

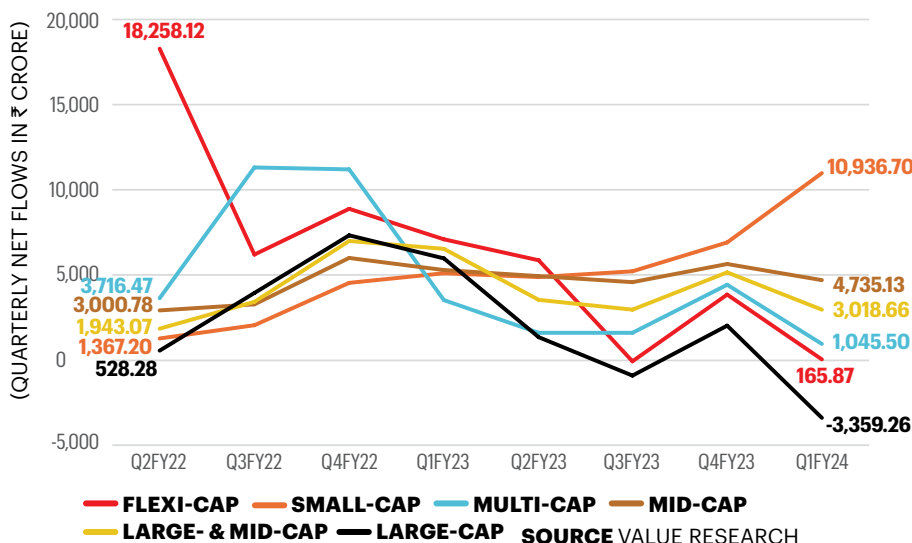
In a recent note, domestic broking major ICICI Direct stated that while small-cap funds have seen significant underperformance in the past few years, if overall markets remain stable, these funds may continue to thrive going forward.

There’s probably still enough steam left to drive markets, especially small-caps, to new heights, but a little bit of prudence never hurt anyone. **BT**

@ashishrukhaiyar

| 101

Net inflows into small-cap funds have steadily grown over the past eight quarters



“At times there can be a need to shut a

fund. It can depend on a few factors such as the size of the fund within its category relative to the available liquidity in a segment like small-cap to build relevant positions”

AJIT MENON
CHIEF EXECUTIVE OFFICER,
PGIM INDIA MUTUAL FUND

GRAPHICS BY RAHUL SHARMA